



Staff Report

TO: Honorable Mayor and Members of the City Council
FROM: Lisa Leach, Interim Finance Director
BY: Marcia Mason, Budget Analyst
DATE: August 4, 2026
SUBJECT: FY2025-2026 4th Quarter Budget Update and Financial Status Report

Description: Receive and file a report on the status of the City's budget and financial status as of June 30, 2026.

Motion:

If the City Council determines that staff's recommendation is appropriate, the following motion is provided:

I move to receive and file the report on the City's budget and financial status as of June 30, 2026.

Recommendation:

Staff recommends that the City Council receive and file the report.

Discussion:

The Fiscal Year 2025–26 fourth-quarter financial report provides an overview of the City's current financial position.

The Finance Department will continue to maintain a comprehensive system of tools that enable departments to effectively manage their budgets and support financial monitoring and control throughout the fiscal year. This system ensures that departments and the City Council have timely access to detailed information on revenues, expenditures, and overall budget performance at both the departmental and fund levels.

General Fund Summary

Most of the General Fund revenue budget is from taxes. Property tax is usually recorded in January and May. Sales tax is received in monthly advance estimated

payments and then a quarterly actual clean-up payment. Other taxes include Motor Vehicle In-Lieu, which is received in February and June, as well as Utility Users tax which is received monthly.

General Fund Revenues

As of June 30, 2026, the city has collected 98% of FY2025-26 budgeted revenues. Sales tax for the month of July-April has been recorded. Below is a table for General Fund Revenues as of June 30, 2026.

	GENERAL FUND REVENUES			
	CURRENT BUDGET	ACTUAL	ESTIMATED ACTUALS	%
Taxes	50,143,017	48,368,264.35	53,565,264	96%
Licenses	450,000	558,731.48	558,731	124%
Permits	2,071,119	2,146,437.15	2,146,437	104%
Franchise Fees	3,419,570	3,310,496.84	3,371,497	97%
Charges for Services	2,717,534	3,518,486.64	3,518,487	129%
Fines and Forfeitures	220,000	307,606.76	307,607	140%
Cost Recovery	1,103,297	1,210,678.45	1,210,678	110%
Miscellaneous	2,535,593	3,683,605.12	2,375,668	145%
Other Financing Sources	1,623,468	1,638,756.62	1,638,757	101%
Transfers	8,203,211	6,461,775.83	8,203,211	79%
TOTAL REVENUES	72,486,809	71,204,839.24	76,896,337	98%

General Fund Departments

The table below provides an overview of the general fund department budgets through June 30, 2026.

General Fund Expenditures			
DEPARTMENT	CURRENT BUDGET	ACTUAL	% spent through 3rdQTR
Non-Departmental	\$ 1,850,825	\$ (124,286.05)	-6.7%
City Council	\$ 276,016	\$ 218,186.58	79.0%
City Clerk	\$ 587,004	\$ 433,678.94	73.9%
Administration	\$ 2,122,102	\$ 1,719,994.69	81.1%
Communications	\$ 987,512	\$ 627,899.87	63.6%
Finance	\$ 2,614,352	\$ 2,361,451.95	90.3%
IT	\$ 2,497,620	\$ 2,163,860.08	86.6%
Economic Development	\$ 2,050,499	\$ 1,139,645.34	55.6%
Risk and HR	\$ 4,600,897	\$ 4,175,028.09	90.7%
Legal	\$ 1,501,000	\$ 1,153,358.02	76.8%
Community Development	\$ 1,326,771	\$ 1,006,125.91	75.8%
Community Services	\$ 2,985,322	\$ 2,430,368.60	81.4%
Animal Control	\$ 492,366	\$ 378,934.02	77.0%
Community Enhancement	\$ 778,458	\$ 573,585.70	73.7%
Police	\$ 19,817,838	\$ 17,886,831.63	90.3%
K-9	\$ 22,749	\$ 19,308.28	84.9%
Police Support	\$ 3,776,025	\$ 3,344,072.82	88.6%
Fire	\$ 9,349,440	\$ 8,595,137.02	91.9%
Building and Safety	\$ 1,640,015	\$ 1,376,093.10	83.9%
Public Works	\$ 3,537,753	\$ 2,835,135.27	80.1%
Street Maintenance	\$ 3,649,859	\$ 3,021,623.84	82.8%
Custodial Maintenance	\$ 659,868	\$ 613,011.09	92.9%
Facilities Maintenance	\$ 977,811	\$ 713,202.90	72.9%
Parks and Grounds	\$ 6,083,507	\$ 5,610,500.00	92.2%
TOTAL EXPENDITURES	74,185,609	62,272,747.69	83.9%

Departments that have been highlighted are outside of the +/- 10% from the 100% threshold that are under 90%. Invoices for FY26 will continue to be paid through July 31st and posted to FY26.

The table below provides for expenditures by type. Personnel costs make up 54% of the actuals to date. Operating costs are 40% of actuals, followed by Contingency/Capital at

6%. Currently, there are three areas in the Operating category that came in over budget, Recruitment, Utilities and Fleet Costs.

By the close of the fourth quarter for Fiscal Year 2025-26, total General Fund expenditures are estimated to come in at **\$66.5 million**, or approximately **90%** of the **current budget of \$74.18 million**. Overall spending aligns with expected trends for this stage of the fiscal year.

	EXPENSE TYPE	FY 2026 ORIGINAL BUDGET	FY 2026 CURRENT BUDGET	FY 2026 ACTUAL	ESTIMATED ACTUALS	%	
Personnel							
	Salaries and Wages	26,336,355	25,890,856	24,249,082.89	24,249,083	94%	
	Benefits	10,903,888	10,903,888	9,090,268.82	9,090,269	83%	
	Other	660,419	667,746	504,990.87	504,991	76%	
	TOTAL PERSONNEL	37,900,662	37,462,490	33,844,342.58	33,844,342.58	90%	54%
Operating							
	Recruitment/Hiring	75,000	75,000	92,928.80	93,800	124%	
	Utilities	2,245,782	2,145,782	2,167,625.36	2,664,071	101%	
	Administration	1,762,397	1,800,247	1,524,844.49	1,524,844	85%	
	Fleet Costs	903,887	903,887	980,715.93	980,716	108%	
	Program Costs	2,777,798	2,849,798	1,615,853.93	1,615,854	57%	
	Repairs & Maintena	1,757,915	1,936,717	1,661,055.26	1,842,721	86%	
	Supplies	1,238,767	1,299,306	1,021,544.80	1,409,730	79%	
	Special Services	251,200	321,200	157,407.60	200,775	49%	
	Contractual Service	15,389,895	15,453,822	12,436,164.58	12,436,165	80%	
	Other	3,690,987	3,891,282	3,173,058.87	3,798,044	82%	
	TOTAL OPERATING	30,093,628	30,677,041	24,831,199.62	26,566,719.69	81%	40%
Capital							
	Equipment	1,068,841	1,631,216	1,370,440.50	1,631,216	84%	
	Furniture	-	33,801	36,747.69	36,748	0%	
	Vehicle	1,741,124	1,767,979	1,676,270.61	1,767,979	95%	
	Structure	640,907	671,907	640,907.00	671,907	95%	
	Land Improvements		15,000		15,000	0%	
	TOTAL CAPITAL	3,450,872	4,119,903	3,724,365.80	4,122,850	90%	6%
Contingency							
	CONTINGENCY	150,000	130,116	51,891.54	130,116	40%	0%
Transfers							
	TRANSFERS	520,000	1,796,059	(179,052.05)	1,796,059	-10%	0%
Total Expenditures		72,115,162	74,185,609	62,272,747.49	66,460,086.96	84%	90%

Wastewater Fund Summary

Revenues

Wastewater revenues are collected in arrears. The July billing is accrued back to prior FY and the first billing for FY25/26 was collected in September. Billing is completed bi-monthly. As of June 30, 2026, the Wastewater Fund has collected 109% of its budgeted revenues. Below is the summary for FY2025-26 through the 4th quarter.

	WASTEWATER REVENUES				
	CURRENT BUDGET	ACTUAL	ESTIMATED ACTUALS	%	
Fines and Forfeitures	\$ -	\$ 93,399	\$ 93,399	0%	
Cost Recovery	\$ 8,053	\$ -	\$ -	0%	
Miscellaneous	\$ 138,851	\$ 449,209	\$ 449,209	324%	
Proprietary Revenues	\$ 16,099,013	\$ 17,118,422	\$ 17,118,422	106%	
Other Financing Sources	\$ -		\$ 130,793	0%	
Transfers	\$ 42,036	\$ 33,452	\$ 42,036	0%	
TOTAL REVENUES	16,287,953.00	17,694,481.81	17,833,858.81	109%	

Expenses

Wastewater expenses are estimated through June 30, 2026, to total \$15.86M representing **95%** of the **amended budget of \$16.62 million**. Personnel costs make up 25% of the actual costs to date, operating costs make-up 52%, Contingency/Transfers Out make up 23%.

Currently, all categories are within budget. Overall, estimated actuals have revenues coming in at \$1.5 million above budget and expense coming in at \$756K below budget for an overall estimated surplus of \$2.3M.

WASTEWATER EXPENSES							
	EXPENSE TYPE	FY 2026 ORIGINAL BUDGET	FY 2026 CURRENT BUDGET	FY 2026 ACTUAL	ESTIMATED ACTUALS	%	
Personnel	Salaries and Wages	2,034,502	2,030,937	2,100,040.20	2,100,040.20	103%	
	Benefits	820,015	820,015	662,207.03	662,207.03	81%	
	Other	33,901	34,502	33,396.79	33,396.79	97%	
	TOTAL PERSONNEL	2,888,418	2,885,454	2,795,644.02	2,795,644.02	97%	25%
Operating	Utilities	1,474,686	1,474,686	1,184,652.37	1,474,686.00	80%	
	Administration	298,852	298,852	233,565.61	254,798.85	78%	
	Fleet Costs	117,010	117,010	101,563.42	117,010.00	87%	
	Repairs & Maintenance	797,753	797,753	642,047.85	700,415.84	80%	
	Supplies	1,019,328	1,019,328	813,584.28	887,546.49	80%	
	Contractual Services	1,425,012	1,444,161	903,739.40	1,084,487.28	63%	
	Admin Overhead	1,489,000	1,489,000	1,489,000.00	1,489,000.00	100%	
	Other	470,907	470,907	400,627.32	437,047.99	85%	
	TOTAL OPERATING	7,092,548	7,111,697	5,768,780.25	6,444,992.44	81%	52%
Capital	Equipment	-	-	-	-	-	
	Vehicle	-	-	1,831.66	-	-	
	TOTAL CAPITAL	-	-	1,831.66	-	0%	0%
Contingency	CONTINGENCY	229,320	585,517	487,183.51	585,517.00	83%	4%
Transfers	TRANSFERS	6,035,631	6,035,631	2,071,896.75	6,035,631.00	34%	19%
Total Expenses		16,245,917	16,618,299	11,125,336.19	15,861,784.46	67%	95%

Transit Fund Summary

Revenues

Most of the transit fund revenues consist of funding from the Riverside County Transportation Commission (RCTC). Revenue from RCTC is received on a monthly basis. Other revenues received include ridership fares, Measure A taxes, and interest and EV charging station revenue recorded in Miscellaneous revenue. As of June 30, 2026, the Transit Fund is estimated to collect 100% of its budgeted revenues.

	TRANSIT REVENUES			
	CURRENT BUDGET	ACTUAL	ESTIMATED ACTUALS	%
Taxes	\$ 206,123	\$ 206,123	\$ 206,123	100%
Intergovernmental	\$ 3,247,289	\$ 3,054,178	\$ 3,247,289	94%
Miscellaneous	\$ 46,699	\$ 28,334	\$ 46,699	61%
Proprietary Revenues	\$ 40,616	\$ 40,269	\$ 40,616	99%
Other Financing Sources	\$ 85,638	\$ 78,572	\$ 85,638	92%
Transfers	\$ 47,447	\$ 34,840	\$ 47,447	73%
TOTAL REVENUES	3,673,812.00	3,442,315.21	3,673,812.00	94%

Expenses

Estimated Transit expenses as of June 30, 2026, total \$3.67M which is 99% of the FY2025-26 budget. Personnel costs make up 76.5% of the actuals to date and operating costs make up 21.6% with Capital actual-to-date expenditures at 1.9%. Currently, there are no categories over budget.

TRANSIT EXPENSES						
	EXPENSE TYPE	FY 2026 ORIGINAL BUDGET	FY 2026 CURRENT BUDGET	FY 2026 ACTUAL	ESTIMATED ACTUALS	%
Personnel						
	Salaries and Wages	1,943,878	1,990,645	2,041,036.08	2,041,036.08	103%
	Benefits	778,874	778,874	714,509.80	714,509.80	92%
	Other	39,302	39,980	38,989.87	38,989.87	98%
	TOTAL PERSONNEL	2,762,054	2,809,499	2,794,535.75	2,794,535.75	99%
Operating						
	Utilities	114,053	114,053	95,909.62	100,079.60	84%
	Administration	99,235	80,873	79,271.10	82,717.67	98%
	Fleet Costs	210,729	210,729	266,936.16	266,936.16	127%
	Program Costs	48,768	48,768	47,242.88	49,296.92	97%
	Repairs & Maintenance	65,449	65,791	58,636.67	61,186.09	89%
	Supplies	12,811	12,811	16,513.14	16,513.14	129%
	Contractual Services	86,554	104,574	82,779.00	90,304.36	79%
	Admin Overhead	134,000	134,000	134,000.00	134,000.00	100%
	Other	23,370	23,370	8,029.95	8,759.95	34%
	TOTAL OPERATING	794,969	794,969	789,318.52	809,793.89	99%
Capital						
	Equipment	61,500	61,500	61,106.64	61,500.00	99%
	Structure	7,842	7,842	7,842.00	7,842.00	100%
	TOTAL CAPITAL	69,342	69,342	68,948.64	69,342.00	99%
Transfers						
	TRANSFERS		-	-	-	
Total Expenses		3,626,365	3,673,810	3,652,802.91	3,673,671.64	99%

Recommended Budget Adjustments

The following table comprises a list of recommended budget adjustments.

Fund	Amount	Reason
General Fund-Econ Dev	-\$74,680	Move budget for banking and credit card fees
General Fund-Finance	+\$74,680	

Fiscal Impact:

The estimated cost to prepare this report is \$350.

Alternatives:

Choose not to receive and file the FY2025-2026 4th quarter Budget-to-Actuals Report and direct staff to provide additional information or revisions.

Attachments:

- A. 4th Quarter Budget Adjustments